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CIO JOURNAL

The Japanese Business Philosophy Fueling Microsoft's AI Transformation

Microsoft COO Carolina Dybeck Happe said the principle of kaizen is key to how she's approaching AI transformation inside the organization

By Isabelle Bousquette Follow , Belle Lin Follow and

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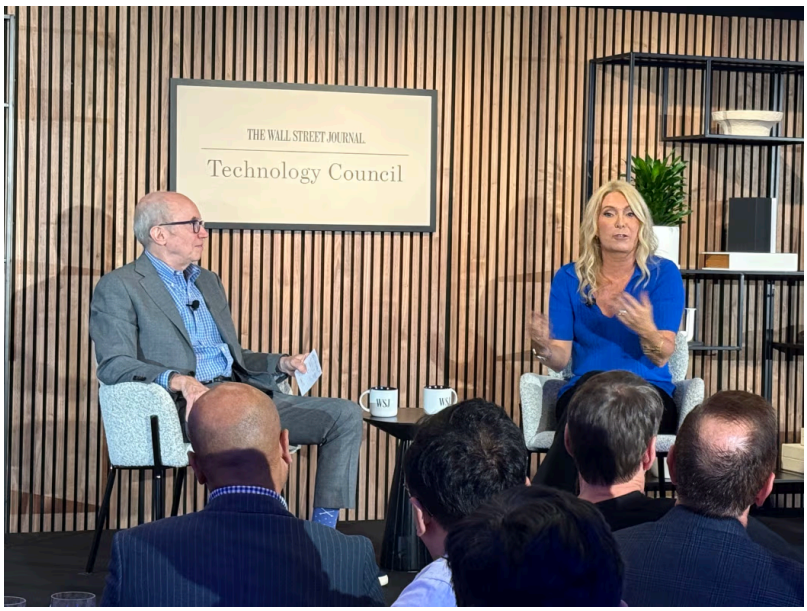

Microsoft COO Carolina Dybeck Happe, in conversation with WSJ Leadership Institute President Alan Murray at the WSJ Technology Council Summit on Sept. 15 in New York. STEVEN ROSENBUSH

Carolina Dybeck Happe, who last year became Microsoft's first chief operating officer in nearly a decade, isn't as focused on artificial intelligence as a technology as she is on AI as a business-management problem.

Speaking at The Wall Street Journal Leadership Institute's Technology Council Summit in New York on Monday, Dybeck Happe said a focus on people and processes before technology, and the Japanese principle of

kaizen—or continuous improvement—is driving much of her work to transform the decades-old organization into one that's AI-first.

When Dybeck Happe got the call from Microsoft Chief Executive Satya Nadella to join the company from General Electric, she said she understood the importance of Microsoft proving itself as customer zero when it comes to adopting AI if it wants to have credibility with customers that it is in turn selling AI to. But immediately she knew the challenge would be more people-focused than anything else.

"We have phenomenal technology already," she said. "It's going to be all about the change management," Dybeck Happe said at the WSJ Tech Council event. Ninety percent of polled participants at the event agreed.

The opportunity ahead of Dybeck Happe was huge. At the time of her appointment, Nadella said, "It is because—time and time again when tech paradigms have shifted—we have seized the opportunity to reinvent ourselves. And that's what we are doing again today in this AI platform shift."

Dybeck Happe said focusing on people and processes before technology, and tapping kaizen, served as a starting point.

Kaizen emerged in post-World War II Japan as a method for rebuilding the nation's economy and supercharging its steel manufacturing industry, which started outpacing that of the U.S. The principle refers to continuous, incremental improvements in efficiency, using processes like eliminating unnecessary activity and using teamwork to fix problems when they arise. It has since been employed by companies across the world, from Subaru to Dr Pepper.

To Dybeck Happe, "It's about getting alignment around the goal." In other words: understanding exactly the business process you're trying to apply AI

to before AI ever comes into the equation.

"A lot of people would tell you what they think the process looks like, what they wish the process looks like," she said. "But if you understand what it really looks like—and it always gets really messy—then you can say, 'OK, this is what we're working with,' and you get that alignment."

As an example of improving business processes, Dybeck Happe said the tech giant drastically cut down the number of steps required for customer onboarding from 230 to under 40.

That task required alignment from Microsoft's sales, marketing, product and finance teams, Dybeck Happe said. Then, a further 75% of the onboarding steps were automated with the help of AI agents—the autonomous bots that can perform tasks on behalf of humans.

"In the end, what came out was a phenomenally better experience for the customers as well as for our teams," she said.

The company also automated pull requests, a process for merging changes in code, by building AI agents. That effort freed up engineers to develop solutions for customers and get products to them more quickly.

The other key, she said, is ensuring that tech leaders are bringing along the right people.

Tech leaders typically spend too much time focused on a small proportion of employees who are totally resistant to change. Instead, she said, they should lean on the small proportion that are bullish on change and focus on converting the majority that are on the fence.

"With all the technology coming, pick the best people that you can for your team, because they will drive the technology much further than you ever could have yourself," Dybeck Happe said.

Steven Rosenbush is chief of the enterprise technology bureau at the WSJ Leadership Institute. The team covers the interplay of business, technology and leadership for a professional audience.The group publishes CIO Journal and its daily email newsletter, the Morning Download....

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